

BUSINESS ECONOMICS AND FINANCIAL ANALYSIS

III B. Tech. I Semester: MECHANICAL ENGINEERING

Course Code	Category	Hours / Week			Credits	Maximum Marks		
A6HS08	HSMC	L	T	P	C	CIE	SEE	Total
		3	0	0	3	40	60	100

COURSE OVERVIEW:
 This Course enables the student to understand and appreciate, with a particular insight, the importance of certain basic issues governing the business operations namely; demand and supply, production function, cost analysis, markets, forms of business organizations, capital budgeting and financial accounting and financial analysis.

COURSE OUTCOMES:
At the end of the course, the student should be able to:

1. Gain the conceptual knowledge on Business Economics and practical applications of Demand and Supply viz. Laws, Types, Elasticity, and Forecasting and Equilibrium.
2. Familiarize the concepts and applications related to Production and Cost of a firm.
3. Assess the features of different Market Structures and forms of Business Organizations existing in the modern business.
4. Analyze how Capital Budgeting decisions are carried out.
5. Elaborate the concepts and principles of Financial Accounting & interpret financial statements through ratio analysis.

UNIT-I	INTRODUCTION TO BUSINESS ECONOMICS & DEMAND AND SUPPLY ANALYSIS
Business Economics: Definition, Nature and Scope of Business Economics. Demand Analysis: Demand Determinants, Law of Demand and its exceptions, Elasticity of Demand, Types, Measurement and its Significance, Demand Forecasting and its Methods. Supply Analysis: Law of Supply, Supply Function, Equilibrium of Demand and Supply.	
UNIT-II	PRODUCTION & COST ANALYSIS
Production Function – Law of Variable Proportions and Laws of Returns to Scale, Isoquants and Isocosts, MRTS, Cobb-Douglas Production function, Economies of Scale. Cost Analysis: Cost concepts, Break-even Analysis (BEA).	
UNIT-III	MARKET STRUCTURE, PRICING & BUSINESS ORGANISATIONS
Market Structure: Classification of market structures, Features of Perfect competition, Monopoly, Oligopoly and Monopolistic Competition. Pricing: Objectives and Policies, and Methods. Business Organisations: Features and evaluation of different forms of Business Organisations- Sole Proprietorship, Partnership, Joint Stock Company, Government, Private and Cooperative.	
UNIT-IV	CAPITAL BUDGETING
Capital and its significance, Types of Capital, Methods and sources of raising capital - Capital Budgeting: features of capital budgeting proposals, Methods of Capital Budgeting: Payback Period- Accounting Rate of Return- Net Present Value- Internal Rate of Return and Profitability Index (simple problems).	

UNIT-V	INTRODUCTION TO FINANCIAL ACCOUNTING & ANALYSIS
Financial Accounting: Accounting concepts and Conventions - Double - Entry Book Keeping, Journal, Ledger, and Trial Balance - Final Accounts with simple adjustments. Financial Analysis: Analysis and Interpretation of Financial Statements, Financial Analysis through Liquidity, Leverage, Solvency and Profitability ratios.	
Text Books:	
1. D. D. Chaturvedi, S. L. Gupta, Business Economics - Theory and Applications, International Book House Pvt. Ltd. 2013. 2. Prasanna Chandra, Financial Management, 10 th Edition, Mc Graw Hill, 2019. 3. Dhanesh K Khatri, Financial Accounting, Tata Mc –Graw Hill, 2011.	
Reference Books:	
1. Aryasri, Managerial Economics and Financial Analysis, TMH, 2012. 2. S.A. Siddiqui & A.S. Siddiqui, Managerial Economics and Financial Analysis, New Age International Publishers, Hyderabad, 2013. 3. S. N. Maheshwari, Sunil K Maheshwari, Sharad K Maheshwari, Financial Accounting, 5 th Edition, Vikas Publications, 2013. 4. I. M. Pandey, Financial Management, 11 th Edition, Vikas Publications, 2015.	